wasco greenergy

POWERING Transition Together

INTEGRATED ANNUAL REPORT 2025

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Powering Transition Together

Our cover brings the Wasco Greenergy logo into purposeful focus, transforming it into a visual representation of the people, expertise and capabilities that power our renewable energy solutions. Each element reflects the engineering expertise and operational discipline that define Wasco Greenergy, reinforcing our role as a trusted partner in the region's shift towards low carbon energy. The flame motif signals our continued move towards cleaner and more efficient technologies, while the modern illustration style reflects our refreshed identity as a newly listed company with a clear and forward-looking strategy.

Anchored by the theme **Powering Transition Together,** the design reflects how we continue to strengthen our role by advancing sustainable technologies, enhancing operational excellence and deepening collaboration with clients, regulators and industry partners. It affirms our commitment to delivering cleaner, smarter and more resilient energy solutions in close partnership with our stakeholders, as we work towards a more sustainable and future-ready energy landscape.

Scan this QR code to view it online or visit https://wascogreenergy.com/reports-presentations.php

BASIS OF THIS REPORT

This Integrated Annual Report 2025 of Wasco Greenergy Berhad ("Wasco Greenergy" or "the Group") marks the Group's first integrated annual report and presents information on the Group's business activities, governance, performance, and prospects for the financial year ended 31 December 2025.

The report provides an integrated view of the Group's strategy, business model, risk management, financial performance, and sustainability-related disclosures, and how these elements relate to the Group's ability to create value over the short, medium, and long-term.

SCOPE AND REPORTING BOUNDARY

This report covers the performance and key developments of Wasco Greenergy and its subsidiaries for the reporting period from 1 January 2025 to 31 December 2025.

The reporting boundary is aligned with the Group's audited financial statements and includes all entities over which the Group exercises control during the reporting period.

The report focuses on the Group's principal activities, including renewable energy engineering, procurement, construction and commissioning ("EPCC") services, after-sales and operations as well as maintenance services, where applicable.

The report primarily reflects the Group's operations in Malaysia and Indonesia. Activities or impacts in other geographical areas are included where they are material.

REPORTING FRAMEWORKS AND STANDARDS

This Integrated Annual Report has been prepared in compliance with applicable statutory and regulatory requirements and with reference to recognised international frameworks and guidelines, where relevant, including:
- Companies Act 2016
- Main Market Listing Requirements of Bursa Malaysia Securities Berhad
- Malaysian Code on Corporate Governance
- Malaysian Financial Reporting Standards ("MFRS")
- Bursa Malaysia Sustainability Reporting Guide (3rd Edition)
- FTSE4Good Bursa Malaysia Index
- National Sustainability Reporting Framework ("NSRF")
- International Integrated Reporting <IR> Framework
- Global Reporting Initiative ("GRI") Universal Standards 2021
- IFRS® S1 General Requirements for Disclosure of Sustainability-related Financial
- IFRS® S2 Climate-related Disclosures
- United Nations Sustainable Development Goals ("SDGs")
- Greenhouse Gas ("GHG") Protocol
- United Nations ("UN") Global Compact's 10 Principles

MATERIALITY

Disclosures in this report focus on matters that are material to the Group's ability to create value over the short, medium, and long-term.

During the reporting period, the Group conducted a double materiality assessment to identify and prioritise material matters relevant to its business and stakeholders. The results of this assessment inform the disclosures in this report, including those relating to the Group's five capitals: Financial, Manufactured, Natural, Human & Intellectual, and Social & Relationship Capital.

Further details on the assessment process and outcomes are set out in the Materiality and Strategic Alignment section of this report.

FORWARD-LOOKING STATEMENTS

This Integrated Annual Report contains forward-looking statements relating to the Group's future plans, strategies, and prospects, based on assumptions and conditions current at the time of publication. Actual outcomes may differ due to uncertainties and changes in the operating environment.

ASSURANCE

The financial statements included in this Integrated Annual Report have been independently audited in accordance with applicable auditing standards.

Selected sustainability indicators disclosed within the Sustainability Statement have been subject to external independent limited assurance by PricewaterhouseCoopers PLT. Details of the scope and basis of this assurance are set out in the Limited Assurance Report.

All other non-financial disclosures in this report are based on internal data collection processes and management review, with oversight from the Board Sustainability Committee and supported by internal audit processes.

DIRECTORS' STATEMENT OF RESPONSIBILITY

The Board of Directors of Wasco Greenergy acknowledges its responsibility for the integrity of this Integrated Annual Report and considers that it presents a fair and balanced view of the Group's performance, position and prospects.

NAVIGATION ICONS

OUR FIVE CAPITALS:

- F Financial
- M Manufactured
- N Natural
- H Human & Intellectual
- S Social & Relationship

MATERIAL MATTERS:

- Sustainable Value Creation
- Mitigating Climate Change
- Environmental Management
- Ensuring Water Security
- Biodiversity Impacts
- Talent Management
- Human Rights
- Supplier Social Impacts
- Equal Opportunity, Diversity and Inclusion

KEY STAKEHOLDER GROUPS:

- Employees
- Shareholders and Investors
- Customers
- Government and Regulators
- Suppliers and Contractors
- Local Communities
- Media
- Partners and Principals
- Financial Institutions

FEEDBACK

We welcome your feedback and comments on this report. For any enquiries or suggestions relating to this report, you may reach out to enquiry@wascogreenergy.com

ABOUT WASCO GREENERGY

Wasco Greenergy Berhad is a Malaysia-based renewable energy systems provider with a strong track record in delivering industrial energy and decarbonisation solutions. The Group specialises in the design, engineering and delivery of biomass steam energy systems, heat recovery steam generators ("HRSG"), steam turbine generator systems, gas-fired steam energy systems, and related industrial applications.

Wasco Greenergy is the largest provider of steam turbine generator systems and the second-largest provider of biomass steam energy systems in Malaysia, based on revenue generated (Source: Frost & Sullivan*). These leadership positions reflect the Group's established technical capabilities, execution track record, and deep industry relationships.

The Group focuses on enabling industrial clients to improve energy efficiency, enhance operational reliability, and advance their decarbonisation objectives. Its solutions are increasingly aligned with the global shift towards cleaner and more efficient energy systems, positioning Wasco Greenergy to benefit from structural growth in energy transition investments.

Wasco Greenergy serves a diversified customer base across industrial and agro-based sectors, supported by established direct and indirect distribution channels spanning Malaysia, Indonesia, and selected international markets. This diversified footprint enhances revenue resilience while providing opportunities for regional expansion.

With over four decades of experience, the Group has built a scalable and integrated business model, delivering end-to-end energy solutions that combine advanced steam turbine technologies, complete steam energy systems, and high-efficiency cogeneration capabilities. To date, Wasco Greenergy has supported more than 1,500 customers in optimising energy usage, reducing costs, and achieving long-term sustainability outcomes.

Note:

* *Frost & Sullivan Independent Market Research Report dated 5th November 2025.*

Powering Transition Together

ABOUT WASCO GREENERGY

Purpose-Driven & Passionate
We are inspired by our mission to deliver safe, sustainable, and profitable energy solutions.

Customer Commitment
We deliver on our promises, building trusted partnerships.

People & Growth
We empower our people to grow, perform, and lead with purpose.

Sustainability
We embed environmental and social responsibility in everything we do.

Innovation
We challenge ourselves to create smarter, cleaner energy solutions.

Integrity
We always act with integrity, professionalism, accountability, transparency.

Safety
We conduct operations safely, ensuring no harm to people and environment.

Our Core Expertise

Biomass Power and Cogeneration

We transform agricultural and industrial waste into valuable renewable heat and electricity through advanced biomass power and cogeneration solutions. By utilising residues such as palm biomass and other organic by-products, our systems help customers reduce fossil fuel dependence, lower carbon emissions, and enhance energy self-sufficiency, supported by circular economy principles.

Steam Energy Systems

We design and deliver robust steam energy systems tailored to demanding industrial environments. Our expertise spans biomass and gas-fired boilers, heat recovery steam generators (“HRSG”), and critical auxiliary equipment engineered for reliability, efficiency, and fuel flexibility. These systems are designed to integrate seamlessly with existing operations, providing stable steam supply while optimising energy efficiency and reducing environmental impact.

Steam Turbine Generator Systems

We provide high-performance steam turbine generator systems for power generation and cogeneration applications. Engineered to maximise energy recovery from steam systems, our solutions enable industrial facilities to produce reliable electricity while improving overall thermal efficiency. Each system is customised to meet specific operational requirements, ensuring optimal performance, durability, and long-term value.

Agro-Industrial Machinery

Drawing on our agro-industrial expertise, we supply and integrate specialised machinery including kernel-crushing plants, empty fruit bunch (“EFB”) presses, decanters, and purifiers. These systems are designed to enhance process efficiency, maximise resource recovery, and support downstream bioenergy applications, making them a critical component of any integrated agro-industrial operations.

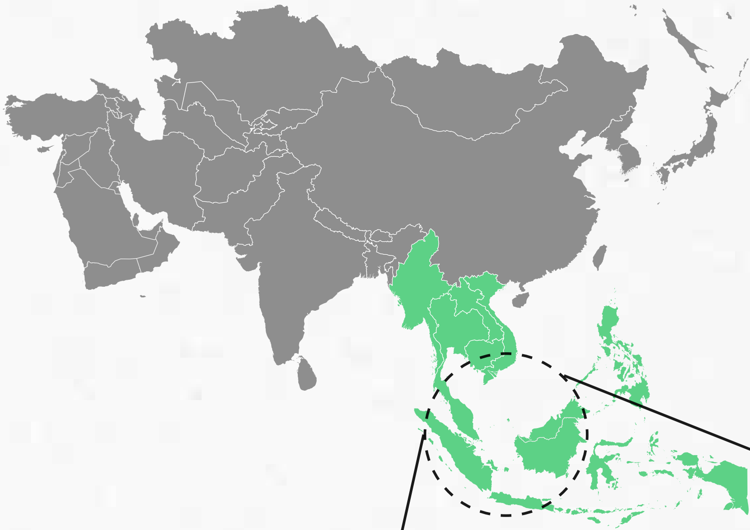
EPCC and Turnkey Delivery

We offer full engineering, procurement, construction and commissioning (“EPCC”) and turnkey delivery services, managing projects from initial concept and feasibility studies through detailed engineering, fabrication, installation, and commissioning. Our disciplined project execution approach ensures schedule certainty, cost control, and seamless coordination, delivering complex energy and industrial systems for reliable operations.

After-Sales and Lifecycle Services

We provide comprehensive after-sales and lifecycle support to ensure long-term system performance and reliability. Our services include preventive and corrective maintenance, spare parts supply, technical support, retrofits, and system upgrades. By supporting assets throughout their operational life, we help customers protect their investments, improve efficiency, and extend equipment lifespans.

WHERE WE OPERATE



With strong roots in Malaysia, we maintain a strategic presence in Indonesia to serve the region efficiently.

Malaysia
- Shah Alam (HQ)
- Bintulu
- Sandakan

Indonesia
- Medan
- Banjarbaru

Legend:
- Headquarters in Malaysia
- Service Centres in Malaysia
- Service Centres in Indonesia

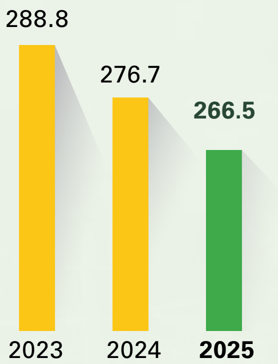
2025 KEY PERFORMANCE HIGHLIGHTS

FINANCIAL PERFORMANCE

Revenue

RM266.5 MILLION

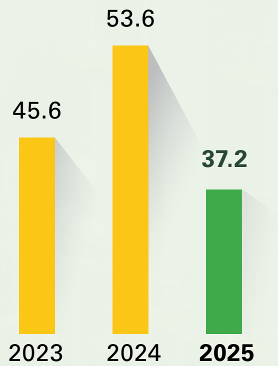
FY 2024: RM276.7 million



Profit Before Tax

RM37.2 MILLION

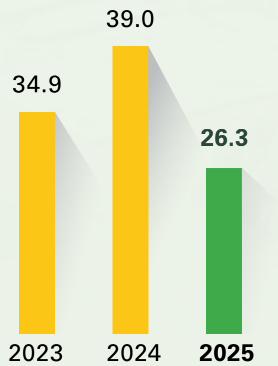
FY 2024: RM53.6 million



Net Profit

RM26.3 MILLION

FY 2024: RM39.0 million



BUSINESS PERFORMANCE

We have supplied more than

1,800 STEAM TURBINES

across the region, with a combined installed capacity exceeding

2.7 GW

We have delivered

OVER 300 STEAM ENERGY SYSTEMS,

including biomass boilers, gas-fired boilers and heat recovery steam generators ("HRSG")

2025 KEY PERFORMANCE HIGHLIGHTS

We have installed more than

1,300 KERNEL CRUSHING PLANTS

and over

150 EFB PRESSES

WE EXPANDED OUR ENGINEERING AND FABRICATION CAPACITY,

enabling us to handle more complex system requirements with greater precision and consistency

SUSTAINABILITY PERFORMANCE

We achieved **2,477,789 safe man-hours with zero lost time incident,** a testament to our shared commitment to safety

A total of **RM61,459** was invested in community initiatives

a total of **648 VOLUNTEER MAN-HOURS** were contributed in 2025

a total of **602 BENEFICIARIES** were reached through Wasco Greenergy's social impact programmes

a total of **434 tCO_2e** was avoided via our **solar panel**, accounting for 38% of our total energy consumption

CORPORATE INFORMATION

BOARD OF DIRECTORS

Halim Bin Haji Din
Non-Independent Non-Executive Chairman

Ng Ing Peng
Senior Independent Non-Executive Director

Ramanathan A/L P.R. Singaram
Non-Independent Non-Executive Director

Roslina Binti Abdul Rahman
Independent Non-Executive Director

AUDIT COMMITTEE

Ng Ing Peng
Chairperson
Senior Independent Non-Executive Director

Ramanathan A/L P.R. Singaram
Member
Non-Independent Non-Executive Director

Roslina Binti Abdul Rahman
Member
Independent Non-Executive Director

NOMINATION AND REMUNERATION COMMITTEE

Ng Ing Peng
Chairperson
Senior Independent Non-Executive Director

Ramanathan A/L P.R. Singaram
Member
Non-Independent Non-Executive Director

Roslina Binti Abdul Rahman
Member
Independent Non-Executive Director

BOARD SUSTAINABILITY COMMITTEE

Roslina Binti Abdul Rahman
Chairperson
Independent Non-Executive Director

Ramanathan A/L P.R. Singaram
Member
Non-Independent Non-Executive Director

Ng Ing Peng
Member
Senior Independent Non-Executive Director

CORPORATE INFORMATION

REGISTERED OFFICE

Office Suite No. 603, Block C
Pusat Dagangan Phileo Damansara 1
No. 9, Jalan 16/11, Off Jalan Damansara
46350 Petaling Jaya
Selangor Darul Ehsan
Tel. No.: +603 7890 0238

PRINCIPAL PLACE OF BUSINESS

Lot 1929, Jalan Bukit Kemuning
Seksyen 32
40460 Shah Alam
Selangor Darul Ehsan
Tel. No.: +603 5525 7555
Website: www.wascogreenergy.com
E-mail: enquiry@wascogreenergy.com

AUDITORS

PricewaterhouseCoopers PLT
(LLP0014401-LCA & AF1146)
Level 10, Menara TH 1 Sentral
Jalan Rakyat, Kuala Lumpur Sentral
50706 Kuala Lumpur

OUTSOURCE INTERNAL AUDIT FUNCTION

Axcelasia Sdn Bhd

PRINCIPAL BANKERS

OCBC Bank Group
RHB Bank Berhad

PRINCIPAL ADVISERS

CIMB Investment Bank Berhad
CGS International Securities Malaysia Sdn. Bhd.
Maybank Investment Bank Berhad

SHARE REGISTRAR

Tricor Investor & Issuing House Services Sdn. Bhd.
Unit 32-01, Level 32, Tower A
Vertical Business Suite, Avenue 3
Bangsar South, No. 8, Jalan Kerinchi
59200 Kuala Lumpur
Tel. No.: +603 2783 9299

Stock Exchange Listing
Main Market of Bursa Malaysia Securities Berhad

Date of Listing
11 December 2025

Stock Code
5343

Stock Name
GENERGY

Sector
Energy

Sub-Sector
Renewable Energy

COMPANY SECRETARIES

Rebecca Kong Say Tsui (MAICSA 7039304)
SSM Practicing Certificate No.: 202008001003

Yeng Shi Mei (MAICSA 7059759)
SSM Practicing Certificate No.: 202008001282

CHAIRMAN'S STATEMENT

POWERING PROGRESS ACROSS THE ENERGY TRANSITION

Dear Valued Shareholders,

The year 2025 represents a defining milestone for Wasco Greenergy Berhad, marked by our successful listing on the Main Market of Bursa Malaysia Securities Berhad on 11 December 2025. This achievement is both a testament to the Group's evolution over time and a reflection of the trust placed in us by all stakeholders.

> With an operational portfolio exceeding 1,800 steam turbine generator systems representing approximately 2.7 GW of installed capacity across Malaysia and Indonesia, the Group is strategically positioned to support the region's growing demand for renewable steam energy solutions.

On behalf of the Board, I wish to convey our sincere appreciation to all stakeholders who supported the Group throughout this transformative journey, including our dedicated employees, strategic partners, advisers, regulators, and our new shareholders.

This inaugural Integrated Annual Report offers a platform to present the market landscape in which the Group operates, as well as to articulate the strategic foundations that will guide our sustainable growth in the years ahead.

Across Malaysia and Indonesia, industrial operators are increasingly focused on enhancing energy efficiency, managing fuel costs, and reducing emissions from steam and power generation systems. Within this context, biomass boilers and steam turbines remain central to renewable energy strategies, particularly in the biomass, palm oil milling, manufacturing, and broader industrial processing sectors.

Independent research underscores the steady expansion of renewable energy investment in Southeast Asia. Biomass, in particular, provides a practical and scalable pathway for industrial decarbonisation, supported by abundant feedstock and proven operational familiarity. Market forecasts indicate continued growth in biomass steam energy systems and steam turbine generator segments across Malaysia and Indonesia over the coming years.[1]

Projects awarded under national renewable energy frameworks typically follow extended commissioning cycles. While influenced by policy and regulatory structures, these cycles provide a visible and predictable pipeline of demand for experienced Engineering, Procurement, Construction, and Commissioning ("EPCC") providers in biomass boiler and steam turbine systems.

With an operational portfolio exceeding 1,800 steam turbine generator systems, representing approximately 2.7 GW of installed capacity across the region, the Group is strategically positioned to capitalise on this demand while benefiting from deep-rooted relationships with industrial customers.

While our listing represents a significant achievement, it also heightens the Group's responsibility to uphold exemplary standards of governance, transparency, reporting discipline, and stakeholder accountability—commitments that the Board takes seriously.

We are encouraged by the Group's comprehensive technical capabilities, spanning integrated engineering, fabrication, system integration, and commissioning expertise in renewable energy systems, complemented by an extensive portfolio of operational assets across key industrial sectors in Malaysia and Indonesia. When combined with a disciplined growth strategy, prudent capital allocation, and selective participation in asset ownership opportunities, the Board is confident that Wasco Greenergy is exceptionally well-positioned to contribute to the region's industrial energy transition—powering sustainable growth together with our customers, business partners, and stakeholders.

On behalf of the Board, I extend my deepest gratitude to our employees, customers, business partners, and shareholders for their continued trust, support, and partnership.

HALIM BIN HAJI DIN
Non-Independent Non-Executive Chairman
Wasco Greenergy Berhad

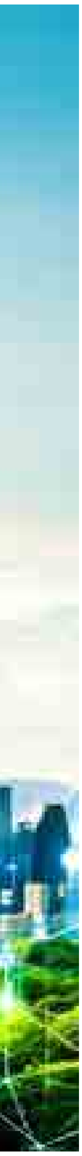
Note:
1. *Independent Market Research Report, Frost & Sullivan, as referenced in Wasco Greenergy Berhad Prospectus (2025): Malaysia and Indonesia biomass boiler and steam turbine market growth projections, 2024–2029. https://wascogreenergy.com/prospectus.php*

CHIEF EXECUTIVE OFFICER'S STATEMENT

SCALING IMPACT THROUGH DISCIPLINED EXECUTION

Dear Valued Shareholders,

FY 2025 was an important year for Wasco Greenergy as we prepared the organisation for its next phase of development as a public listed company. While the listing represents a significant milestone, it also reflects the operational foundations that have been built over many years through engineering capability, project delivery and long-standing relationships with industrial customers.



During the year, our focus remained firmly on execution — delivering projects safely, supporting customers across our installed base of energy systems, and strengthening the organisational capabilities required of a listed company.

Across Southeast Asia, industries are increasingly seeking practical pathways to improve energy efficiency while reducing emissions. In this evolving energy landscape, Wasco Greenergy continues to support industrial customers through engineering expertise, renewable energy systems and long-term service capabilities.

FY 2025 Performance in Perspective

Our performance during the year was supported by active project execution, equipment supply and after-sales services across our installed base of biomass steam energy systems and steam turbine generator systems. Revenue and profitability were driven by ongoing biomass and industrial steam projects, alongside recurring service activities supporting our regional operating fleet.

As at 31 December 2025, our order book stood at RM241.3 million, providing earnings visibility into FY 2026 and beyond.

We introduced our refreshed corporate identity during the year, reflecting the Group's evolution and reinforcing alignment across our operations, stakeholders and markets.

Operational Highlights

Our business model combines project-based revenue from Engineering, Procurement, Construction and Commissioning ("EPCC") activities with equipment sales and recurring after-sales services. This hybrid structure enables us to participate in new project development while maintaining long-term engagement with customers through service and maintenance activities.

During the year, we secured and commenced several EPCC and system supply projects, strengthening our presence in the renewable energy segment. A key milestone was the award of a RM40.6 million EPCC contract for the development of a biomass green steam plant in Johor for an established green steam provider.

After-sales services remain an important pillar of our operations. These services support the reliability and performance of customers' energy systems while providing recurring revenue visibility for the Group. Our growing installed base across Malaysia and Indonesia continues to drive customer engagement, helping to moderate the cyclical nature of project-based activities.

We also continued strengthening our technical capabilities through investments in engineering expertise and operational support. Access to established turbine technology enhances our system integration capabilities and enables us to support customers throughout the full lifecycle of their steam energy systems.

Safety remains central to our operations. As at 31 December 2025, our teams achieved 2,477,789 safe man-hours with zero lost time incident. This reflects the strong safety culture embedded across our project and operational teams.

OUR TRACK RECORDS

BUILT ON EXPERIENCE. BACKED BY PERFORMANCE.

Our track record reflects scale, reliability and long-term customer trust

1,800+ steam turbines deployed

A proven footprint of operational reliability

2.7 GW of installed steam turbine capacity

Driving industrial energy performance across the region

1,300+ kernel crushing plants, 150+ EFB 2-in-1 presses installed

Advancing waste-to-value efficiency in palm oil mills

110+ dedicated service engineers & technicians

Committed to uptime, safety and long-term performance

5 regional service hubs

Delivering fast, on-the-ground technical support

During the year, we obtained MyHijau certification from the Malaysian Green Technology and Climate Change Corporation ("MGTC") for our biomass boiler. This certification affirms compliance with recognised environmental performance standards and supports customers in meeting sustainability and green procurement requirements.

We also continued strengthening workforce capability through technical training, safety programmes and skills development across our engineering, fabrication, installation and commissioning teams. These initiatives ensure consistent project execution standards and reinforce operational discipline across our EPCC activities.

In parallel, we enhanced our facilities and operational infrastructure through targeted investments in machinery, automation and workspace upgrades, including improvements to our headquarters. Our digital capabilities are also being progressively strengthened through the integration of management systems, analytics tools and cybersecurity infrastructure to support project execution, after-sales services and operational decision-making.

Looking ahead, we will continue investing in research and development initiatives, including equipment design improvements, materials testing and the evaluation of advanced and sustainable feedstocks. These initiatives support product development, certification efforts and the Group's long-term competitiveness.

Industry Environment

Demand for biomass boiler and steam turbine systems in Malaysia and Indonesia continues to be supported by structural trends in industrial energy efficiency and decarbonisation.

Market studies project Malaysia's biomass boiler and steam turbine market, including after-sales services, to grow at approximately 9.0% CAGR between 2024 and 2029, while Indonesia's market is projected to grow at approximately 11.2% CAGR over the same period.[1]

These dynamics support a sustained pipeline of opportunities across EPCC, system integration and after-sales services.

Expanding Our Renewable Energy Platform

As part of our longer-term growth strategy, we are progressively expanding our renewable energy business through an asset ownership model under Build-Own-Operate-Transfer ("BOOT") and Build-Own-Operate ("BOO") frameworks. Under this model, we build, own and operate biomass steam systems and related infrastructure under long-term steam purchase agreements and power purchase agreements.

> "Through our renewable energy platform, we aim to deliver reliable biomass steam solutions while building a stable base of recurring revenue."

This approach allows us to deliver reliable renewable steam and power solutions to industrial users while building a more stable base of recurring revenue.

Biomass energy, when sustainably sourced, offers a lower-carbon alternative to fossil fuels for industrial heat and power generation. Through this model, we support industrial customers in transitioning towards renewable steam energy while strengthening energy resilience and compliance with environmental standards.

Over time, our objective is to embed renewable energy infrastructure within industrial clusters, enabling customers to reduce emissions intensity while benefitting from long-term contractual energy supply arrangements.

Strategic Priorities

Our focus remains on three priorities:

- Strengthening EPCC and system integration capabilities within biomass and industrial steam energy projects
- Expanding after-sales services to deepen customer engagement and accelerate recurring revenue growth
- Progressively pursuing selective asset ownership opportunities in biomass energy projects to build sustainable recurring income streams

These opportunities will be pursued carefully and selectively, guided by disciplined investment criteria and partnership structures that allow us to manage capital exposure while creating long-term value.

Our People

None of our progress during the year would have been possible without the commitment and professionalism of our employees across engineering, project execution, fabrication, installation and service operations. Their dedication to safety, quality and delivery continues to underpin the Group's ability to execute complex projects and support customers reliably across multiple industrial sites.

Outlook

We enter FY 2026 with a healthy order book, an established installed base of biomass steam energy systems, and active project execution across multiple sectors.

Demand for renewable energy systems is expected to remain supported by commissioning cycles linked to national renewable energy programmes and ongoing industrial decarbonisation initiatives. Our focus will remain on disciplined project delivery, continued expansion of our service capabilities, and selective participation in asset ownership opportunities.

Together with our customers, partners and employees, we remain committed to **powering the transition together** as we support Southeast Asia's move towards more efficient and lower-carbon industrial energy systems.

Lee Yee Chong
Chief Executive Officer
Wasco Greenergy Berhad

Note:
1. *Independent Market Research Report, Frost & Sullivan, as referenced in Wasco Greenergy Berhad Prospectus (2025): Malaysia and Indonesia biomass boiler and steam turbine market growth projections, 2024–2029.* *https://wascogreenergy.com/prospectus.php*

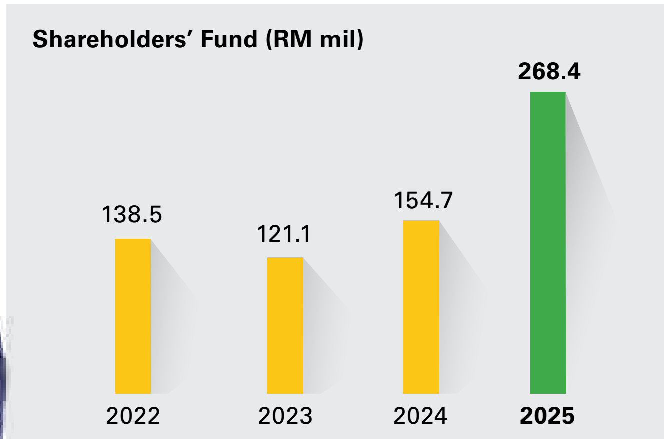
HEAD OF FINANCE'S REVIEW

Dear Valued Shareholders,

Over the past four financial years, we have progressively strengthened our financial position through disciplined project execution, prudent cost management and consistent operational delivery. Leveraging over four decades of engineering expertise within the Group, we have built a resilient financial platform that underpins the Group's ability to deliver sustained long-term growth in renewable steam energy solutions.

Following our listing on the Main Market of Bursa Malaysia Securities Berhad in December 2025, we will continue to prioritise disciplined capital deployment, ensure efficient utilisation of Initial Public Offering ("IPO") proceeds, and committed to delivering sustainable returns to our shareholders.

Our shareholders' funds increased from RM138.5 million in FY 2022 to RM268.4 million in FY 2025, driven by the capital raised from the recent IPO and the cumulative impact of earnings growth over the years.



We continue to uphold strong financial oversight, maintaining transparency in our financial reporting. These supports growth while preserving a disciplined and sustainable capital structure.

Strategic Deployment of IPO Proceeds

The successful completion of our IPO raised RM75.0 million, strengthening the Group's financial capacity to support its long-term growth strategy. To date, RM7.4 million has been utilised for listing-related expenses.

The remaining proceeds will be deployed towards key initiatives aligned with the Group's strategic priorities and long-term value creation objectives. A significant portion is directed towards expanding our renewable energy platform and supporting the Group's transition towards asset-backed and recurring income streams. Additional allocations include the enhancement of operational facilities (16.7%), expansion of Indonesian operations (7.3%), investments in digital infrastructure (6.7%) and research and development ("R&D") activities (5.3%).

> "Our financial performance in FY 2025 reflects continued resilience and disciplined execution within a dynamic operating environment."

Deployment of these proceeds is guided by a disciplined capital allocation framework over a 24 to 36 months horizon, ensuring that investments are directed towards initiatives that enhance earnings quality, strengthen operational efficiency and support sustainable shareholder returns.

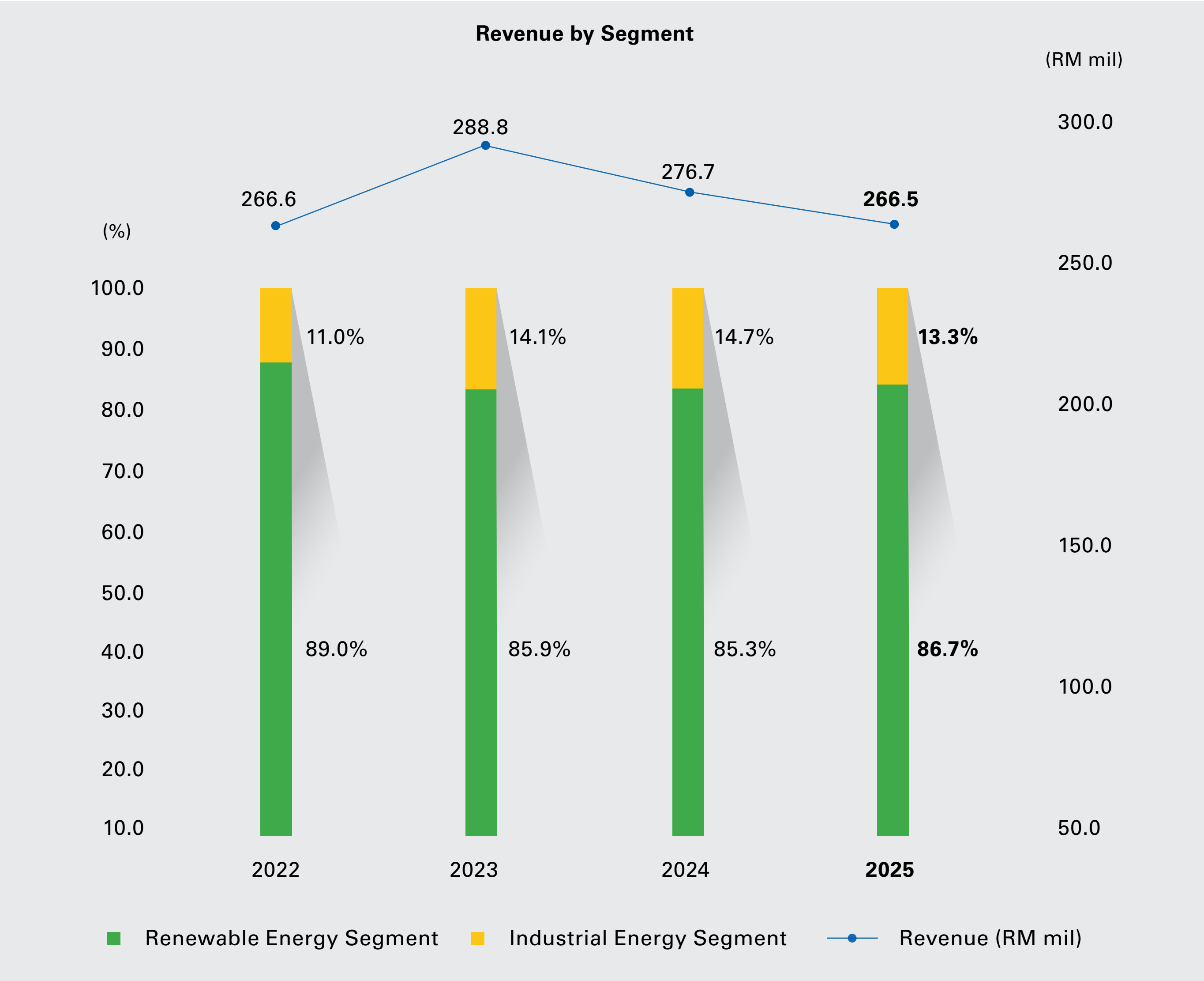
Financial Performance Overview

Our financial performance in FY 2025 reflects continued resilience and disciplined execution within a dynamic operating environment.

The Group recorded revenue of RM266.5 million in FY 2025, largely stable compared to RM276.7 million in FY 2024, reflecting consistent levels of project activity during the year. The Renewable Energy segment remained the primary contributor, generating RM231.1 million (FY 2024: RM 236.0 million) in revenue, while the Industrial Energy and Equipment segment contributed RM35.4 million (FY 2024: RM40.7 million).

Despite the slight decline in revenue, our gross profit increased to RM77.9 million (FY 2024: RM77.5 million). This improvement was driven by improved project execution discipline, a more favourable project mix and stronger margins within the Renewable Energy segment.

After-sales services remained a key contributor, accounting for 32.6% of total revenue in FY 2025 and supporting the Group's ability to generate recurring and predictable income streams.



Strengthening the Quality of Our Earnings

Beyond topline performance, we remain focused on enhancing the quality, sustainability and transparency of our earnings profile.

For FY 2025, the Group recorded profit before tax ("PBT") of RM37.2 million. Comparability with the previous financial year was affected by non-recurring items, including a one-off gain of RM11.6 million in FY 2024 from the disposal of assets held-for-sale and RM5.9 million of listing-related expenses incurred in FY 2025.

Excluding these items, normalised PBT improved to RM43.1 million, compared with RM42.0 million in FY 2024. This reflects the underlying strength of the Group's operating performance and the continued benefits of disciplined cost management and operational execution.

Capital Structure and Liquidity

Maintaining a strong balance sheet remains a cornerstone of our financial strategy.

As at 31 December 2025, the Group reported cash and cash equivalents of RM138.8 million, with total borrowings of RM42.2 million, resulting in a gearing ratio of 0.16 times (FY 2024: 0.26 times). The Group remains in a net cash position.

This strong liquidity position provides the financial flexibility required to support project execution, optimise working capital management and pursue selective investment opportunities in line with our strategic priorities.

Shareholder Returns

In FY 2025, the Group's profitability ratios moderated compared to FY 2024, mainly due to a significantly strengthened capital base following the successful IPO, coupled with the absence of one-off gains from asset disposals recorded in FY 2024 and the recognition of listing expenses in FY 2025.

Return on Total Assets ("ROTA") stood at 10.3% (FY 2024: 17.8%) and Return on Capital Employed ("ROCE") was 13.0% (FY 2024: 25.8%), reflecting the enlarged asset base and increased capital employed following the IPO. The additional capital has yet to be fully deployed to generate corresponding earnings and is expected to support the Group's future growth.

The Board declared an interim single-tier cash dividend of 2.0 sen per share on 12 February 2026 in respect of FY 2025. The entitlement date is 2 April 2026, with payment scheduled for 17 April 2026. This dividend will be recognised in the financial statement for FY 2026.

This dividend reflects our continued commitment to delivering sustainable shareholder returns while maintaining financial flexibility for future growth. We will continue to adopt a prudent capital management approach, balancing shareholder returns with reinvestment needs to support long-term value creation.

Looking Ahead

Entering FY 2026, the Group is supported by a strengthened balance sheet, efficient capital structure and an improving earnings profile.

Our financial priorities remain focused on prudent capital allocation, expanding recurring income streams and maintaining financial resilience. These priorities will continue to guide our financial stewardship as we support the Group's long-term growth strategy.

We remain committed to upholding strong financial governance, transparent reporting and disciplined execution, ensuring that the Group continues to deliver sustainable value to shareholders while maintaining financial strength across market cycles.

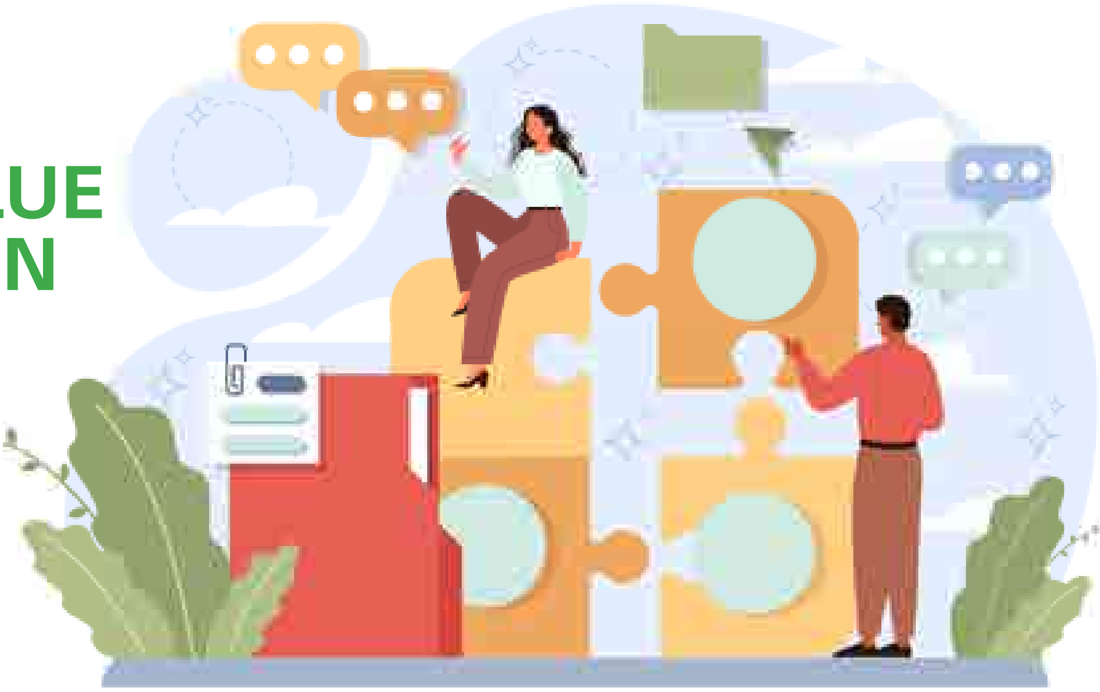
Ooi Giap Hwa, Billy
Head of Finance
Wasco Greenergy Berhad

FINANCIAL REVIEW

		2022	2023	2024	2025
Operating Results					
Revenue	**RM'000**	266,565	288,844	276,715	**266,537**
EBITDA	**RM'000**	35,028	46,575	56,987	**41,971**
Profit before tax	**RM'000**	33,044	45,648	53,625	**37,183**
Net profit	**RM'000**	25,150	34,941	39,040	**26,334**
Net profit attributable to owner of the Company	**RM'000**	22,333	29,781	34,308	**22,717**
Basic earnings per share	**sen**	5.91	7.88	9.08	**5.82**
Gross dividend per share	**sen**	-	-	-	**2.00**
Key Balance Sheet Data					
Total assets	**RM'000**	269,045	345,644	313,491	**386,707**
Capital and reserves attributable to owner of the Company	**RM'000**	138,453	121,069	154,653	**268,379**
Net assets per share	**RM**	0.37	0.32	1.34	**0.54**
Profitability Ratios					
Return on total assets	**%**	12.7	13.5	17.8	10.3
Return on capital employed	**%**	20.9	32.7	25.8	13.0
Gearing Ratio					
Net debt to capital and reserves attributable to owners of the Company	**Times**	(0.09)	(0.31)	(0.06)	(0.36)

OUR VALUE CREATING BUSINESS MODEL

OUR VALUE CREATION MODEL



We create value by enabling industrial decarbonisation through the conversion of biomass waste into reliable steam energy, addressing one of the most challenging areas of emissions reduction in the industry.

By converting agricultural residues such as EFB, palm kernel shells, and woodchips into steam energy for industrial processes, we support industrial operators reduce reliance on fossil fuels while maintaining the reliability required for heat-intensive operations.

With over four decades of industry experience and engineering heritage, our listing in 2025 marks the next chapter in our evolution. It strengthens our platform to scale our capabilities, deepen partnerships with industrial clients, and accelerate the transition towards more sustainable energy solutions.

Our Value Creation Model illustrates:

- The capitals we rely on to operate and grow
- How these capitals are transformed through our business activities and capabilities
- What are the measurable outcomes generated through our operations
- The long-term value we build for stakeholders

OUR VALUE CREATING BUSINESS MODEL

INPUTS

Our business is supported by a balanced portfolio of financial resources, operational infrastructure, natural resources, technical expertise and stakeholder relationships. Together, these capitals enable us to deploy renewable energy solutions and strengthen our ability to scale impact.

F Financial Capital

Funding and proceeds as a newly-listed entity enabling growth of renewable energy solutions and investment in operational capabilities.

- **RM75.0 million**

M Manufactured Capital

Biomass steam boilers, steam turbine generators and integrated bioenergy systems supported by operational facilities and solar-powered sites that enhance energy efficiency.

- **5 operating sites with 5 regional service hubs delivering industrial energy performance**

H Human & Intellectual Capital

Engineering capability in renewable energy technologies, operational know-how in system deployment, strong safety culture and governance practices supporting sustainable operations.

- **422 employees trained through structured development programmes**
- **16.9 training hours invested per employee, supporting technical competency, operational excellence and professional growth**

S Social & Relationship Capital

Building strong relationships with industrial customers, technology partners, regulators, local communities, and across the Group to support responsible and sustainable growth.

- **Serving more than 1,500 customers across industrial and agro-based sectors**

N Natural Capital

Agricultural residues such as EFB, palm fibre and palm kernel shell are utilised as renewable feedstock to support circular resource use, reduce fossil fuel reliance and contribute to environmental sustainability, including biodiversity preservation and carbon reduction

- **Successfully processed 554,624 tonnes of these residues, significantly reducing fossil fuel dependency and supporting biodiversity**

HOW WE CREATE VALUE

Our activities transform these capitals into renewable energy solutions that support emissions reduction in heat-intensive industrial processes.

VALUE-PRESERVING ACTIVITIES

These activities directly address the material need for reliable decarbonisation in hard-to-abate industrial processes

Environmental, Social, and Governance ("ESG") compliance and robust Health, Safety and Environment ("HSE") discipline

Strengthening ESG data governance to support transparency expected of a public-listed company

Improving operational sustainability including solar-powered facilities and energy efficiency initiatives

VALUE-CREATING ACTIVITIES

These activities enable industrial customers to reduce their Scope 1 emissions by replacing fossil fuels with bioenergy systems

Circular utilisation of biomass residues to reduce greenhouse gas ("GHG") emissions
Agricultural by-products such as EFB are repurposed into productive energy resources, supporting circular resource utilisation while reducing GHG emissions.

Performance optimisation and maintenance services
Through system monitoring, servicing and technical support, we enhance reliability, improve efficiency and extend the operational lifespan of installed systems.

Design, manufacture and commissioning of biomass steam energy systems and steam turbine generator systems
We design and deploy modularised renewable steam energy systems using biomass fuels to generate heat and power for industrial operations.

OUTPUTS

Our outputs represent the measurable results of our activities. FY 2025 establishes the baseline indicators that will guide transparent performance tracking in the years ahead.

Renewable energy used at our own operations
38% solar electricity

Workforce upskilled
7,104 training hours

Reduced
223,437 tonnes of CO_2
emissions through our biomass solutions

Generated
387,246 MWh
of renewable energy via our turbine systems

Long-Term Value: Our Forward Commitment

Our priorities ahead include

- Scaling renewable energy deployment across industrial sectors
- Expanding emissions-avoidance outcomes for customers
- Strengthening data governance and reporting assurance readiness
- Enhancing supply chain responsibility and feedstock reliability
- Ongoing reduction of operational emissions
- Mobilise sustainable and transition financing to accelerate adoption

HOW VALUE IS CREATED

Industrial Customers
Reduced Scope 1 and Scope 2 emissions; compliance with carbon-constrained supply chains; improved energy security through renewable energy solutions.

Investors
Access to growth in industrial decarbonisation; strengthened governance and transparency as a newly listed company; opportunities aligned with sustainable financing frameworks.

Employees
Skills development in renewable energy engineering; safe workplaces supported by strong HSE culture; purpose-led careers in the energy transition.

Communities
Cleaner industrial operations; local economic participation; social and community initiatives.

Environment
Avoided emissions from biomass waste; circular utilisation of agricultural residues; contribution to biodiversity through reforestation initiatives.

Policy Stakeholders
Support for Malaysia's National Energy Transition Roadmap ("NETR") and broader industrial decarbonisation efforts.